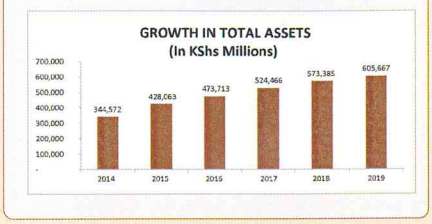
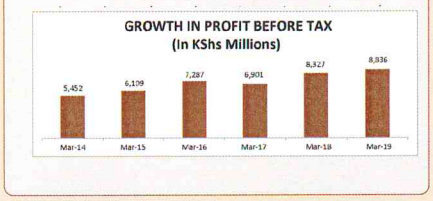
EQUITY GROUP HOLDINGS PLC
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 31ST MARCH 2019

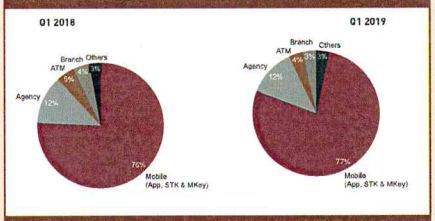
EQUITY Group Holdings Plc

STATEMENT OF FINANCIAL POSITION	EQUITY BANK (KENYA) LIMITED BANK			EQUITY GROUP HOLDINGS PLC COMPANY			EQUITY GROUP HOLDINGS PLC GROUP		
	31st Mar 2018 Shs. '000' (Un-audited)	31st Dec 2018 Shs. '000' (Audited)	31st Mar 2019 Shs. '000' (Un-audited)	31st Mar 2018 Shs. '000' (Un-audited)	31st Dec 2018 Shs. '000' (Audited)	31st Mar 2019 Shs. '000' (Un-audited)	31st Mar 2018 Shs. '000' (Un-audited)	31st Dec 2018 Shs. '000' (Audited)	31st Mar 2019 Shs. '000' (Un-audited)
A. ASSETS									
1. Cash (both local & foreign)	8,527,912	8,580,005	8,126,722	8,343,784	7,674,725	7,820,024	18,600,402	19,846,917	21,831,374
2. Balances due from Central Bank of Kenya	12,149,433	23,148,790	21,473,114	-	-	-	12,149,433	23,148,790	21,473,115
3. Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-	-
4. Financial assets at fair value through profit and loss	-	-	-	-	-	-	-	-	-
5. Investment securities:	**138,943,824**	**150,769,440**	**159,057,445**	-	-	-	**150,181,142**	**160,952,084**	**169,650,576**
a) Held to maturity:	**17,454,621**	**16,451,884**	**16,352,580**	-	-	-	**18,312,256**	**18,516,723**	**20,534,556**
a. Kenya Government securities	15,451,631	15,680,143	15,740,865	-	-	-	15,451,631	15,680,143	15,740,865
b. Other securities	2,002,991	771,741	611,715	-	-	-	2,860,626	2,836,580	4,793,691
b) Available for sale:	**121,489,203**	**134,317,556**	**142,704,865**	-	-	-	**131,868,885**	**142,435,361**	**149,116,020**
a. Kenya Government securities	106,906,526	114,756,102	122,186,813	-	-	-	106,906,526	114,756,102	122,186,813
b. Other securities	14,582,677	19,561,454	20,518,052	-	-	-	24,962,359	27,679,259	26,929,207
6. Deposits and balances due from local banking institutions	989,800	2,000,000	3,995,840	-	-	-	5,609,181	5,209,182	8,933,078
7. Deposits and balances due from banking institutions abroad	7,836,827	4,372,866	12,373,894	-	-	-	31,418,931	26,414,026	32,479,634
8. Tax recoverable	56,744	494,413	-	-	11,000	-	130,369	631,769	71,917
9. Loans and advances to customers (net)	206,862,953	223,565,307	229,289,421	-	-	-	271,075,482	297,226,915	305,535,628
10. Balances due from group companies	3,478,167	454,990	870,594	429,735	94,902	108,499	-	24,176	-
11. Investments in associates	-	-	-	-	-	-	-	-	-
12. Investments in subsidiary companies	-	-	-	65,760,616	66,786,117	66,786,117	-	-	-
13. Investments in joint ventures	-	-	-	-	-	-	-	-	-
14. Investment properties	8,494	-	-	-	-	-	8,494	-	-
15. Property and equipment	5,527,805	5,220,724	4,935,701	-	-	-	10,798,446	10,275,726	11,692,358
16. Prepaid lease rentals	3,687	12,146	12,134	-	-	-	138,566	459,153	91,705
17. Intangible assets	6,333,477	6,792,586	6,594,611	-	-	-	6,921,863	7,363,110	7,135,794
18. Deferred tax asset	2,413,059	4,925,505	4,925,505	-	82,996	82,996	2,690,007	6,118,787	6,189,780
19. Retirement benefit asset	-	-	-	-	-	-	-	-	-
20. Other assets	9,049,545	8,172,012	13,589,117	-	235,892	197,475	18,058,422	15,714,115	20,582,374
21. TOTAL ASSETS	**402,181,727**	**438,508,784**	**465,244,098**	**74,534,135**	**74,885,632**	**74,995,111**	**527,780,738**	**573,386,730**	**605,667,335**
B. LIABILITIES									
22. Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-	-
23. Customer deposits	301,623,121	341,622,656	345,431,001	-	-	-	382,422,176	422,758,486	428,509,100
24. Deposits and balances due to local banking institutions	-	-	-	-	-	-	-	-	-
25. Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-	-
26. Other money market deposits	1,194,848	159,778	3,357,276	-	-	-	3,600,896	921,600	3,672,457
27. Borrowed funds	37,690,130	30,108,513	35,925,544	-	-	-	45,309,531	44,179,673	50,969,447
28. Balances due to group companies	259,760	194,526	352,764	2,700,087	422,538	438,287	101,114	-	110,401
29. Tax payable	-	-	1,661,942	36,280	-	7,704	581,678	184,608	2,143,337
30. Dividends payable	-	-	-	7,547,350	-	7,547,350	7,547,350	-	7,547,350
31. Deferred tax liability	-	-	-	-	-	-	62,443	39,937	59,451
32. Retirement benefit liability	-	-	-	-	-	-	-	-	-
33. Other liabilities	2,885,452	5,836,747	10,976,697	258,845	2,824	2,823	6,032,678	10,342,701	17,219,046
34. TOTAL LIABILITIES	**343,653,331**	**377,922,215**	**397,705,224**	**10,542,562**	**425,362**	**7,996,164**	**445,657,886**	**478,427,005**	**510,230,609**
C. SHAREHOLDERS' FUNDS									
35. Paid up/assigned capital	30,000,000	30,000,000	30,000,000	1,886,837	1,886,837	1,886,837	1,886,837	1,886,837	1,886,837
36. Share premium/(discount)	9,964,132	9,964,132	9,964,132	16,062,607	16,062,607	16,062,607	16,062,607	16,062,607	16,062,607
37. Revaluation reserve	958,103	(203,144)	1,717,780	-	-	-	(6,449,649)	(8,924,180)	(7,077,231)
38. Retained earnings/accumulated losses	17,606,161	20,825,581	25,856,962	46,042,129	48,963,476	49,049,503	69,848,854	77,486,425	83,639,507
39 Statutory loan loss reserve	-	-	-	-	-	-	-	16,041	-
40. Other reserves	-	-	-	-	-	-	-	-	-
41. Proposed dividends	-	-	-	-	7,547,350	-	-	7,547,350	-
42. Non-controlling interests	-	-	-	-	-	-	774,203	882,645	925,006
43. TOTAL SHAREHOLDERS' FUNDS	**58,528,396**	**60,586,569**	**67,538,874**	**63,991,573**	**74,460,270**	**66,998,947**	**82,122,852**	**94,957,725**	**95,436,726**
44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	**402,181,727**	**438,508,784**	**465,244,098**	**74,534,135**	**74,885,632**	**74,995,111**	**527,780,738**	**573,386,730**	**605,667,335**
STATEMENT OF COMPREHENSIVE INCOME									
1. INTEREST INCOME									
1.1 Loans and advances	6,166,360	25,498,538	6,182,698	-	-	-	8,762,894	36,415,466	9,068,197
1.2 Government securities	3,394,659	15,188,784	3,888,273	-	-	-	3,704,968	16,301,265	4,144,620
1.3 Deposits and placements with banking institutions	83,905	170,028	77,445	138,521	212,145	125,046	180,767	429,354	265,768
1.4 Other interest income	12,922	73,982	16,573	-	-	-	19,922	84,169	18,431
1.5 Total interest income	**9,666,846**	**40,931,332**	**10,144,989**	**138,521**	**212,145**	**125,046**	**12,668,551**	**53,230,254**	**13,497,025**
2. INTEREST EXPENSES									
2.1 Customer deposits	1,729,686	6,806,737	1,846,755	-	-	-	2,360,981	9,426,897	2,519,673
2.2 Deposits and placements from banking institutions	7,658	65,304	18,141	-	-	-	75,629	531,279	160,944
2.3 Other interest expense	475,015	2,053,313	421,666	-	-	-	414,350	1,847,890	380,786
2.4 Total interest expenses	**2,212,359**	**8,925,354**	**2,286,562**	**-**	**-**	**-**	**2,850,960**	**11,806,066**	**3,061,403**
3. NET INTEREST INCOME	**7,454,487**	**32,005,976**	**7,878,427**	**138,521**	**212,145**	**125,046**	**9,817,591**	**41,422,188**	**10,435,623**
4. NON-INTEREST INCOME									
4.1 Fees and commissions income on loans & advances	1,294,085	4,312,529	1,234,266	-	-	-	1,476,157	4,932,106	1,376,051
4.2 Other fees and commissions income	2,255,531	8,979,321	2,313,988	-	-	-	3,177,040	13,332,054	3,427,850
4.3 Foreign exchange trading income	429,072	2,116,741	495,173	-	-	-	669,854	3,308,957	815,453
4.4 Dividend income	-	-	-	-	10,450,000	-	-	-	-
4.5 Other income	394,425	1,956,994	765,882	8,470	43,574	13,597	1,392,594	4,288,255	1,562,445
4.6 Total non-interest income	**4,373,113**	**17,365,585**	**4,809,309**	**8,470**	**10,493,574**	**13,597**	**6,715,645**	**25,861,374**	**7,181,799**
5. TOTAL OPERATING INCOME	**11,827,601**	**49,371,561**	**12,687,736**	**147,191**	**10,705,720**	**138,643**	**16,533,236**	**67,283,562**	**17,617,422**
6. OPERATING EXPENSES									
6.1 Loan loss provision	110,660	1,668,120	200,885	-	35,032	-	358,588	3,713,521	409,892
6.2 Staff costs	1,718,778	7,665,307	1,618,892	-	29,851	-	2,608,924	11,455,559	2,629,583
6.3 Directors' emoluments	2,938	15,668	1,503	6,360	25,455	2,402	18,745	88,234	15,076
6.4 Rental charges	338,886	1,428,285	344,192	-	-	-	622,287	2,256,594	672,812
6.5 Depreciation on property and equipment	565,744	2,117,333	492,263	-	-	-	843,767	3,129,447	782,981
6.6 Ammortisation charges	236,375	1,043,066	296,101	-	-	-	275,281	1,311,791	338,526
6.7 Other operating expenses	2,158,581	11,051,440	2,526,048	31,234	50,242	13,346	3,478,777	16,865,446	3,932,286
6.8 Total operating expenses	**5,131,962**	**24,989,219**	**5,479,884**	**37,594**	**140,580**	**15,748**	**8,204,367**	**38,820,612**	**8,781,156**
7.0 Profit/(loss) before tax and exceptional items	**6,695,639**	**24,382,342**	**7,187,852**	**109,596**	**10,565,140**	**122,895**	**8,328,868**	**28,462,950**	**8,836,266**
8.0 Exceptional items-share of profit of associate	-	-	-	-	-	-	-	-	-
9.0 Profit/(loss) after exceptional items	**6,695,639**	**24,382,342**	**7,187,852**	**109,596**	**10,565,140**	**122,895**	**8,328,868**	**28,462,950**	**8,836,266**
10. Current tax	(2,008,692)	(6,610,661)	(2,156,355)	(32,879)	(100,570)	(36,868)	(2,422,132)	(7,916,977)	(2,601,305)
11. Deferred tax	-	(968,721)	-	-	82,350	-	-	(722,040)	(139,518)
12. Profit/(loss) after tax and exceptional items	**4,686,947**	**16,802,890**	**5,031,497**	**76,717**	**10,546,920**	**86,027**	**5,906,736**	**19,823,933**	**6,195,443**
12.1 Minority Interest	-	-	-	-	-	-	(36,921)	(133,270)	(42,362)
13. Profit/(loss) after tax and exceptional items and minority interest	**4,686,947**	**16,802,890**	**5,031,497**	**76,717**	**10,546,920**	**86,027**	**5,867,815**	**19,690,663**	**6,153,081**
14. Other comprehensive income									
14.1 Gains/(losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	217,526	(1,034,138)	(85,300)
14.2 Fair value changes in available for sale financial assets	516,708	(644,538)	1,920,923	-	-	-	588,689	(634,176)	1,932,249
14.3 Revaluation surplus on property and equipment	-	-	-	-	-	-	-	-	-
14.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-	-
14.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-	-
15. Other comprehensive income for the year net of tax	**516,708**	**(644,538)**	**1,920,923**	**-**	**-**	**-**	**806,215**	**(1,668,314)**	**1,846,949**
16. Total comprehensive income for the year	**5,203,655**	**16,158,352**	**6,952,420**	**76,717**	**10,546,920**	**86,027**	**6,674,030**	**18,155,619**	**8,000,030**
EARNINGS PER SHARE-BASIC & DILUTED	156.23	560.10	167.72	0.02	2.79	0.02	1.55	5.25	1.64
DIVIDEND PER SHARE-DECLARED	-	333.33	-	-	2.00	-	-	2.00	-
OTHER DISCOSURES									
1) NON-PERFORMING LOANS AND ADVANCES									
a) Gross non-performing loans and advances	14,548,854	17,063,515	20,613,759	-	-	-	18,109,172	24,023,595	29,391,233
b) Less interest in suspense	2,297,416	2,390,469	2,688,324	-	-	-	2,596,101	2,929,014	3,299,529
c) Total non-performing loans and advances (a-b)	**12,251,438**	**14,672,866**	**18,125,433**	**-**	**-**	**-**	**15,513,071**	**21,094,581**	**26,091,704**
d) Less loan loss provision	4,795,621	5,069,742	6,580,511	-	-	-	6,198,682	8,426,493	9,594,471
e) Net non-performing loans (c-d)	**7,455,817**	**9,603,124**	**11,544,922**	**-**	**-**	**-**	**9,314,390**	**12,668,088**	**16,497,233**
f) Discounted value of securities	7,455,817	7,701,295	10,599,971	-	-	-	7,316,390	11,015,992	15,554,614
g) Net NPLs exposure (e-f)	**-**	**1,901,829**	**944,951**	**-**	**-**	**-**	**-**	**1,652,096**	**942,619**
2) INSIDER LOANS AND ADVANCES									
a) Directors, shareholders and associates	3,512,692	3,039,011	3,106,431	-	-	-	3,572,021	3,157,420	3,223,437
b) Employees	4,618,257	4,909,083	4,933,146	-	-	-	5,726,414	6,168,091	6,225,935
c) Total insider loans and advances and other facilities	**8,130,949**	**7,948,094**	**8,039,577**	**-**	**-**	**-**	**9,298,435**	**9,325,511**	**9,449,372**
3) OFF BALANCE SHEET ITEMS									
a) Letter of credit, guarantees and acceptances	41,844,595	65,820,755	71,804,101	-	-	-	45,391,516	74,141,931	89,863,618
b) Forwards, swaps and options	19,223,894	17,122,239	22,803,148	-	-	-	20,739,197	17,149,231	22,853,541
c) Other contigent liabilities	-	-	-	-	-	-	-	-	-
d) Total contigent liabilities	**61,068,489**	**82,942,994**	**94,607,249**	**-**	**-**	**-**	**66,130,714**	**91,291,162**	**112,717,159**
4) CAPITAL STRENGTH									
a) Core capital	**55,226,820**	**55,864,207**	**58,379,841**	**-**	**-**	**-**	**84,845,929**	**78,669,208**	**89,198,906**
b) Minimum statutory capital	1,000,000	1,000,000	1,000,000	-	-	-	4,173,124	4,173,124	4,173,124
c) Excess/(deficiency)	**54,226,820**	**54,864,207**	**57,379,841**	**-**	**-**	**-**	**80,672,806**	**74,496,086**	**85,025,782**
d) Supplementary capital	316,487	-	10,080,000	-	-	-	316,487	16,042	10,080,000
e) Total capital (a+d)	**55,543,307**	**55,864,207**	**67,459,841**	**-**	**-**	**-**	**85,162,417**	**78,685,250**	**95,105,782**
f) Total risk weighted assets	**383,326,845**	**400,288,769**	**417,550,332**	**-**	**-**	**-**	**454,511,423**	**493,817,190**	**513,774,194**
RATIOS									
g) Core capital/total deposit liabilities	**18.3%**	**16.4%**	**16.9%**	**-**	**-**	**-**	**22.2%**	**18.6%**	**20.8%**
h) Minimum statutory ratio	8.0%	8.0%	8.0%	-	-	-	8.0%	8.0%	8.0%
i) Excess/(deficiency) (g-h)	**10.3%**	**8.4%**	**8.9%**	**-**	**-**	**-**	**14.2%**	**10.6%**	**12.8%**
j) Core capital/total risk weighted assets	**14.4%**	**14.0%**	**14.0%**	**-**	**-**	**-**	**18.7%**	**15.9%**	**17.4%**
k) Minimum statutory ratio	10.5%	10.5%	10.5%	-	-	-	10.5%	10.5%	10.5%
l) Excess/(deficiency) (j-k)	**3.9%**	**3.5%**	**3.5%**	**-**	**-**	**-**	**8.2%**	**5.4%**	**6.9%**
m) Total capital/total risk weighted assets	**14.5%**	**14.0%**	**16.4%**	**-**	**-**	**-**	**18.7%**	**15.9%**	**19.3%**
n) Minimum statutory ratio	14.5%	14.5%	14.5%	-	-	-	14.5%	14.5%	14.5%
o) Excess/(deficiency) (m-n)	**0.0%**	**-0.5%**	**1.9%**	**-**	**-**	**-**	**4.2%**	**1.4%**	**4.8%**
(p) Adjusted core capital/total deposit liabilities*	**20.4%**	**17.9%**	**18.4%**	**-**	**-**	**-**	**24.0%**	**20.2%**	**22.4%**
(q) Adjusted core capital/total risk weighted assets*	**16.1%**	**15.3%**	**17.6%**	**-**	**-**	**-**	**20.2%**	**17.3%**	**18.7%**
(r) Adjusted total capital/total risk weighted assets*	**16.2%**	**15.3%**	**18.4%**	**-**	**-**	**-**	**20.3%**	**17.3%**	**20.6%**
5) LIQUIDITY									
a) Liquidity ratio	**56.0%**	**57.9%**	**61.3%**	**-**	**-**	**-**	**55.2%**	**54.1%**	**57.4%**
b) Minimum statutory ratio	20.0%	20.0%	20.0%	-	-	-	20.0%	20.0%	20.0%
c) Excess/(deficiency) (a-b)	**36.0%**	**37.9%**	**41.3%**	**-**	**-**	**-**	**35.2%**	**34.1%**	**37.4%**

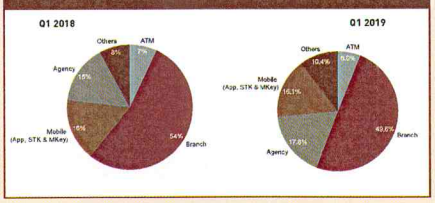




97% of our Transactions Outside the Branch



51% of our Transactions Value outside the Branch



*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution. The complete set of financial statements, statutory and qualitative disclosures can be accessed on the Institution's website www.equitybankgroup.com. They may also be accessed at the institution's Head Office located at Equity Centre, 9th floor, Hospital Road Upper Hill.

Signed: Dr James Mwangi
GROUP CEO AND MANAGING DIRECTOR

Signed: Prof. Isaac Macharia
DIRECTOR

EQUITY Group Holdings Plc